

Title: 2026 Compensation Analysis Software Tool Requirement

Internal Sources Sought Number: 19AQMM26N0148

Agency: U.S. Department of State (DoS)

Office: Office of Overseas Employment in the Bureau of Global Talent Management (PERT/OE)

Location: Washington, DC

Notice Type: Sources Sought Notice

NAICS Code: 541612- Human Resources Consulting Services

This notice is issued solely for information and planning purposes and does not constitute a Request for Proposal (RFP), Request for Quotes (RFQ) or a commitment on the part of the Government to conduct a solicitation for the below-listed services in the future. Respondents are advised that the Government will not pay for information submitted in response to this sources sought notice, nor will it compensate respondents for any costs incurred in the development/furnishing of a response. The Government will not entertain telephone calls for this Sources Sought Notice. A decision not to submit a response to this Sources Sought Notice will not preclude a vendor from participating in any future solicitation.

Responses are directed to those companies with a NAICS Code of 541612. Respondents are welcome to submit other relevant and appropriate NAICS codes for consideration.

1.0 Purpose

The purpose of this Sources Sought is to accomplish market research pursuant to Federal Acquisition Regulation (FAR) Part 10, and to identify businesses capable of and interested in performing the functions described herein. The Government is requesting information regarding the availability and feasibility of attracting businesses with proven technical capability and experience in compensation analysis software.

1.1 Introduction

The Department of State's (DOS) Office of Overseas Employment in the Bureau of Global Talent Management (PERT/OE) is responsible for establishing and updating local compensation and benefit plans that apply to all Locally Employed (LE) Staff of the U.S. Government (USG) in countries where DOS has a diplomatic presence. The Department of State has approximately 186 Local Compensation Plans (LCPs) that cover approximately 60,000 LE staff members working for USG agencies represented at U.S. Missions (U.S. embassies, consulates, and other U.S. presence posts) in over 186 overseas localities. Most of these employees are non-U.S. citizens. They are hired in country to support USG agencies and their agency-specific programs, and the majority are ordinarily resident in the foreign jurisdictions.

The Foreign Service Act (FSA) of 1980 is the U.S. law underlying all compensation and benefits for LE Staff that work for USG agencies overseas. This law requires that each local compensation plan be based on prevailing wage rates and compensation practices for corresponding types of positions in the locality of employment and be consistent with local labor law (insofar as local labor law does not contravene U.S. law). The local compensation plan in each country forms the official basis for all compensation payments to LE Staff. All payments to LE Staff, such as salary, direct benefit payments, premium compensation, and USG contributions to host government social insurance or private insurance plans, must be specifically authorized in the local compensation plan and approved by the Office of Overseas Employment (PERT/OE) in Washington, D.C.

1.2 Background

The primary objective of the LE Staff Compensation program is to provide a total compensation package that will enable USG agencies at U.S. missions overseas to recruit and retain LE Staff for continued employment with the USG under conditions that fully support USG objectives in each country.

In accordance with Section 408 of the Foreign Service Act (FSA), the LE Staff local compensation plan applies a total remuneration model which includes cash and non-cash compensation and other benefits that are locally prevailing to the extent consistent with the U.S. public interest and the USG's responsibility to the U.S. taxpayers.

A total compensation package is based on the application of a total remuneration model and should demonstrate that the U.S. Mission is a competitive and responsible employer. Country-specific total compensation levels are determined by analyzing the general labor market in the locality of employment using commercial data sources. By comparing these external total compensation levels to USG total compensation levels and applying appropriate adjustments, the USG must achieve a level of pay that is consistent with the intent of the FSA and that enables the USG to recruit and retain appropriate LE Staff based on each U.S. Mission's unique employment needs.

2.0 Statement of Need and Vision

To meet the project objective, vendors shall provide access to a commercially available proprietary analytical tool that will allow the Department of State (DOS) to import, input, and upload compensation data from multiple sources approximately 186 countries. The analytical tool shall allow the Department of State's Office of Overseas Employment in the Bureau of Personnel and Training (PERT/OE) to conduct analysis of total compensation for these 186 localities using the compensation data and in accordance with federal guidelines and PERT Department of State policy. The vendor is required to provide training on the use of the analytical tool on-site at PERT/OE's offices in Washington, D.C. The vendor is also required to provide ongoing support for the analytical tool and system upgrades, during the length of the contract.

Specific requirements for the compensation analytical tool are shown below. In addition, the vendor must be available for consultancy regarding the tool and upgrades to it on an as-needed basis.

2.1 Tasks

A. General Characteristics

The analytical tool application must:

1. Allow for the import, input or upload of an unlimited number of compensation surveys from multiple international and/or regional/local vendors or other data provided by PERT/OE; and
2. Allow the import, or input of an unlimited number of DOS salary schedules (with varying workweek schedules) with up to 13 grade levels, up to 25 steps, including separately paid cash bonuses and allowances; and
3. Support and accommodate the import, input or upload of data provided in market percentile format (50th, 75th, 90th, Average, Median, etc.) for each survey. Tools must be able to extrapolate and/or interpolate data at other desired market percentiles, in addition to the percentiles that were entered, imported or uploaded at the target levels identified by PERT/OE; and
4. Define the components that make up employee pay including basic rates, bonuses, allowances, total pay, in-kind benefits, etc.; and
5. Identify work week hours, regional pay differentials, "as of" date, and number of incumbents per position or per position grouping; and
6. Allow for the incorporation of other adjustment factors to consider required modifications for data weighting, extra holidays, aging, etc.; and
7. Support the analysis of and conversion to local currency and hard currency (US dollars) by allowing for input of a specific exchange rate for each survey. If basic rates or total compensation amounts are abbreviated (i.e. "000" dropped from the data report), this must be clearly annotated in the application; and
8. Allow DOS to incorporate adjustment factors to "age" individual compensation surveys based on DOS expected implementation dates, survey effective dates and using annual projection percentages from each survey vendor. The "survey data effective date" and the "aged to" date must be displayed in the application; and
9. Calculate and display spans and inter-grade differences for each survey and DOS salary schedule; and

10. Allow users to compare DOS salary schedules to market rates at designated targets and adjust all or part of the salary structure by applying across-the-board or varied percentage increases, or applying fixed amount increases to the salary scale or to individual grade levels. Tool must accommodate adjustments to total compensation or basic rates only. Tools must accommodate adjustments to the midpoint as well as the minimum rate. Tool must compute a revised salary scale, displaying separately the total compensation rates as well as the basic rate and bonuses/allowances, before and after adjustments are applied; and
11. In addition to total compensation rates, tool must display benefits (bonuses, allowances, in-kind benefits, etc.) separately from basic rates and allow users to conduct benefit analyses and adjust all or part of the DOS cash benefits by applying across-the-board or varied percentage increases or applying fixed amounts to the benefit amounts. Tool must back-solve to calculate applicable increases to total compensation following any benefit adjustments. Tool must compute a revised salary scale, displaying separately the total compensation rates as well as the basic rate and bonuses/allowances, before and after benefit adjustments are applied; and
12. Allow users to manipulate the salary and benefit data to conduct these analyses, excluding outliers, and sorting data; and
13. Provide for calculation of and adjustments to within range/grade increases and spans for both basic rates and total compensation; and
14. Support a traditional salary scale structure (min/max, with or without steps) as well as salary schedules based on pay bands or pay for performance methodologies; and PERT
16. Allow coding to protect the confidentiality of individual compensation and benefit data; and
17. Maintain data on a country-by-country and job-by-job basis for a minimum of three years; and

18. Generate survey reports for individual analyses; an internal report with analysis details, and an external report as designed by DOS; and

19. Generate all-inclusive year-over-year trending reports which can be sorted and generated by year, country, or region. Flexibility must be incorporated to allow customization and the generation of reports for a wide variety of criteria.

B. Surveyed Job Characteristics

As it relates to the survey of jobs used for annual reviews conducted using the analytical tool, the application must:

1. Provide a list of survey jobs and a detailed description of each survey job used by the commercial survey vendors included in each country analysis; and

2. Include the following categories of positions: manual/skilled laborers, clerical, technical, administrative, professional, and mid-level management; and

3. Include the following data for each surveyed job: job title, level (if one of several levels for one type of job), the number of incumbents among the surveyed companies and/or the number of companies having a match to each survey job; and

4. Use actual (specific) benchmark survey jobs and not representative survey jobs (representative survey jobs being jobs with quite different duties and responsibilities but with equivalent grade levels or point values in a particular job evaluation system). Specific benchmark survey jobs themselves will be typical jobs most frequently found in local labor markets at levels of work equivalent to the same level of work in the FSN job evaluation system; and

5. Integrate a quality control program across countries to ensure jobs at different grade levels have the same levels of duties, responsibilities and complexity.; and

6. Ensure consistency of grade levels in the reported databases from year to year; and
7. Ensure consistency in grade levels in the reported databases across regions and/ or globally.

C. Benefit Data Characteristics

As it relates to the cash benefit data imported or input into the analytical tool, the application should:

1. Identify whether data is presented as a percentage or a fixed amount; and
2. Identify the nature of the benefit: bonuses, allowances, or in-kind benefits, and the specific title of the benefit; and
3. Allow incorporation of data on a variety of cash and non-cash benefits, including bonuses, allowances and in-kind benefits; separately identifying the monetary value of each benefit provided to incumbents of matched positions including, but not limited to: free meals, meal vouchers, meal or transportation allowances, shuttle buses, use of company cars, company sponsored activities, loans, profit sharing, etc. where applicable; and
4. Present benefit data on an annual basis with any variation specifically indicated (i.e. benefits reported on an hourly, daily, weekly, and/or monthly basis); and

Identify if the benefit applies to all employees, only certain job levels, and

5. Indicate whether benefit data is denominated and paid in local currency, US dollars or some other currency. The exchange rate used in any conversion must be displayed; and
6. If benefit amounts are abbreviated (i.e. “000” dropped from the data report), this must be clearly annotated in the application; and

7. Cash and in-kind benefit data must allow input of information on utilization and/or number of incumbents receiving the benefits; and

8. Allow special annotations for legal requirements and legally required benefits; and

9. Separately paid cash benefits to be reviewed during the annual total compensation analysis are those which are paid regularly to LE Staff and are not linked to any particular condition or event, such as length of service awards or birth grants; and

10. Benefit data referenced throughout this SOW must be presented by company, or by percentage of companies; and

11. Develop mechanism to import external vendor benefit data in the analytical tool to determine overall prevalence and allow for recommended adjustments.

D. Compensation Analysis Characteristics

The analytical tool should incorporate the following standards:

1. Allow for the import or input of total compensation figures either as a total sum or input separately (basic salary rates and cash benefits) and totaled in the application; and

2. Allow for the adjustment of net salaries to represent gross salaries (before taxes); and

3. Use the survey data midpoint at each data point for the import/input and analysis of commercial data; and

4. Allow for data conversion to reflect annual basic rates if commercial data is reported in other than annual rates (e.g. daily, weekly, monthly); and

5. Allow for data conversion to the currency paid by the USG to the LE Staff employed in each country if commercial data is reported in a different currency; and
6. Allow for the incorporation of adjustment factors which may need to be applied to the commercial survey databases if the average workweek as reported by the survey vendor is other than the standard workweek used at the US Mission in the country; and
7. Each individual set of commercial compensation data will be projected to a future local compensation plan revision implementation date identified by PERT/OE. Aging factors will be used for each set of compensation data as reported out by each database source and based on the methodology used by the commercial vendors to determine future salary increases; and
9. Data analysis will take into account USG standardized criteria which will be further developed and explained during on-site training. In general, the application must allow the removal of datasets or data points (outliers) from the analysis (“sporting”) during the full review as noted below:
 - b. Survey data points which represent an anomaly when compared to the other commercial data points at the same position level; and
 - c. Survey data points which create an inversion in the resulting pay line during the analysis process.

E. Application Support

Vendors must identify a Point of Contact (POC) to provide support for PERT/OE inquiries regarding the application who will respond within one business day of receipt of the inquiry.

Vendors must be able to enhance the analytical tool to meet evolving DOS compensation analysis requirements and changes in the Department's compensation philosophy and methodology.

Vendors must be able to readily adapt to changing IT structures and remote work environments within DOS and provide alternative web-based options to access analytical tools.

Corporate Experience of the POC is defined as follows:

1. Staff who are fully knowledgeable in the use of the analytical tool; and
2. Staff who have a working knowledge of international compensation surveys and practices; and
3. Staff who have a minimum of 5 years of experience with the analytical tool and with international compensation programs and analysis; and
4. Staff must be available to consult and train Department of State individuals in use of compensation analytical tools.

F. Compensation Data Analysis

Using their commercially available proprietary compensation analytical tools, vendors will conduct a full comparison of USG salaries and benefits consistent with DOS standards and PERT/OE general requirements. Vendors will import commercial compensation data from multiple vendors into a single database and compare the off-the-shelf data to compensation levels of each country's USG basic rates and cash benefits using benchmark survey jobs most frequently found in local labor markets. Vendors will analyze the data and, in order to maximize transparency and maintain credibility in the system, produce reports which will provide DOS the basis for revisions to local compensation plans.

2.2 Information Technology and Security

Tool (major version and subsequent major updates) must be approved by the DOS Technical Review Board (TRB) for installation on the DOS network (OpenNet) or the DOS Non-Enterprise Network (NEN).

Vendor must provide a how-to guide and release notes to support PERT requests for Enterprise desktop support installation efforts.

Vendor must abide by the DOS Cybersecurity Supply Chain Risk Management (C-SCRM) policies and procedures. Requirements will be delivered and updated by the PERT COR and/or ISSO.

Vendor must provide the ability to disable any near-field communication or communication calls that would traverse a DOS network (i.e. “call home” feature).

Vendor must control the list of users approved to login into and/or download the product. Users with approved login accounts must utilize their DOS email addresses and be approved by the COR or ISSO.

2.3 Period of Performance

The period of performance for support under this instrument shall be one base year and four option years beginning from the date of award and signature by Department Contracting Officer.

2.4 Security Clearance Level

All work to be performed under this contract is unclassified.

2.5 Place of Performance

All work is to be performed from Contractor premises, unless specified above.

2.6 Government Furnished Property

No government-furnished property will be provided to Contractor.

2.7 Travel

Except as otherwise provided herein, the Contractor shall be reimbursed for its reasonable actual travel costs in accordance with its usual accounting practices consistent with FAR Subpart 31.2, specifically FAR 31.205-46. Travel must be directly related to and required for performance of this contract and authorized in advance and in writing by the Contracting Officer's Representative (COR). In no event shall costs associated with employee commuting be reimbursable as a direct cost under this contract.

2.8 Deliverables

Ongoing access to the compensation software tool during the contract period, with the option to update the tool as requested based on operational needs.

3.0 Responses

Responses should be limited to 12 pages or less and be submitted as a Microsoft Word Document or Portable Document Format (PDF). Submissions should include the company's capability statement that aligns with 2.0 Statement of Need and Vision (above) and responds to the following categories:

Company Name:	
Company Point-of-Contact	
Email:	
Phone:	
Unique Entity Identifier (UEI) Number:	
Socioeconomic Status under NAICS Code 541612	<i>Example: HUBZone; Veteran Owned; Woman-Owned; 8(a); Service Disabled Veteran Owned</i>

Registered and Active in the System for Award Management (SAM.gov)	☐ Yes ☐ No
On the Excluded Party List	☐ Yes ☐ No
Capability Statement Included that Addresses Section 2.0 Statement of Need and Vision	☐ Yes ☐ No

3.1 How to Respond

Please submit your response no later than 03/25/2026 by 12:00 P.M. Eastern, with electronic files sent to the following points of contact:

Nichole Gross, Contracting Officer at GrossNS@state.gov.

Please title the subject of your email **2026 Compensation Analysis Software Tool Requirement**

At this time, questions will not be accepted.

Thank you.